

Can't BS the Bond Market: DS Roundtable 1

Extracted from: Damped Spring Roundtable

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 **5-Minute Version:** [Watch Key Excerpts](#)

Speaker Bios

Andy Constan is founder of Damped Spring Advisors, a macro research firm serving institutional investors. Former head of portfolio strategy at Bridgewater Associates and senior PM at DE Shaw. Known for deep Fed plumbing expertise and cross-asset macro frameworks.

Jimmy Jude is a partner at Damped Spring and co-founder of DSMMA. Former option pit trader with decades of experience in technical analysis and order flow. Known for chart-based market timing and volatility structure analysis.

Nik Lentz is quantitative analyst at DSMMA and contributor to Damped Spring. Former UFC fighter (25x Top Ten veteran) turned systematic trader. Develops mathematical models and systematic indicators for market inefficiencies.

Executive Summary

The DS team's central thesis: **you can't BS the bond market**, and the Trump administration is learning this the hard way. Jimmy opens with the key technical observation: long-end yields sit at range highs with "no support underneath"—big moves in July and September left air pockets below. One wrong move (Hassett Fed chair pick, SCOTUS rules tariffs illegal) and bonds dump through, dragging equities with them. The team is unanimous that **Waller is the best Fed chair pick**—he's dovish in an articulated way, respects the bond market, and would be perceived as independent. Hassett would trigger an immediate steepener; even Warsh is a trap given his hawkish history.

The mechanism matters: the bond vigilantes enforce fiscal discipline that politicians won't. Andy frames it cleanly—**to rally the long end you need to either spend less, tax more, or slow the economy**. Spending less is politically unlikely despite reconciliation possibilities. Taxing more means tariffs, which may be ruled illegal by SCOTUS. That leaves slower growth, which is already materializing: economy weakening from a strong Q3, non-residential investment (factories) contracting despite the onshoring narrative, residential soft, and consumption tied to a labor market that's "clicking up tick by tick" on unemployment. Nick adds the disinflationary backdrop: rents and OER are rolling off, giving the Fed cover to cut. The team believes **Fed cuts more than the 55bps priced through June**—the question is whether the long end cooperates.

The concentration risk in Mag7 creates a behavioral trap: **fatter tails both ways**. FOMO keeps extending the rally (you can't rotate \$3T in market cap into small caps without destroying price), but when it fades, the rotation out goes into bonds and commodities—not healthcare or cyclical—and the market is "more prone for crashes." Gold above \$4,000 is pure FOMO into a small market; Nick is taking no macro signal from it. Oil is the contrarian setup: \$50 is inflation-adjusted cheap, US producers can't break even at these levels, and Venezuela headlines create the perfect "bad news, good price action" tell. If 56 holds on the gap-down, it's a screaming buy; if it breaks, test low 50s.

PM implication: Steepeners are the principal risk trade—2-10s could widen to 120-250bps if tariffs are ruled illegal and Congress can't reinstate them (filibuster). You can talk stock investors into temporary workarounds, but bond markets price 10-30 years—they won't buy it. Raise cash into equity rallies, buy dips, favor rest-of-world developed markets (Europe, Japan) over US—that trade has worked all year on both stock performance and dollar weakness. Don't chase gold above \$4K; wait for oil to show its hand tonight.

Listen or Skip?

Verdict: Must-listen for rates/macro traders

Aspect	Rating
Signal density	★★★★★
Actionability	★★★★★
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Rates traders, macro PMs, anyone positioning around Fed/SCOTUS catalysts **Skip if:** Looking for equity stock picks or long-term strategic allocation

Key Quotes

1. "There's a lot of BS underneath this market... the one thing they can't BS their way through is the bond vigilantes."
2. "If he makes a mistake at this point they will kick him off the edge here and the speed of rates will be the thing that has potential to spook the market."
3. "I think bonds snap down on that [Hassett pick]. Yield up."
4. "Currently the terminal rate for SOFR is still north of three and... you only are priced for 55 basis points of cuts. I think more cuts are likely than that."
5. "The more concentrated the market, the higher the tail risk, but also the more FOMO and more extension you can get. So you have the double tails getting wider."
6. "At 3,500 I don't want to own gold and we're way past that. I think silver is even more ridiculous."
7. "If the oil opens up and this Venezuela thing turns out not to be a big deal, I think oil is a screaming buy. But if we start getting daily closes under 56, I think we test 50, maybe even go into the 40s."
8. "If tariffs are illegal... I think we have a massive steepener. And that's the trade. You could talk about 120 to 250 is the widest they tend to get."

1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	Neutral-Bearish (binary catalysts pending)
Conviction	Medium-High
Time Horizon	Tactical (0-2m)
Primary Domain(s)	Rates Equities Oil Precious Metals
Why Now?	Fed chair + SCOTUS tariff decisions imminent; long-end at range highs with no support

Top 3 Investable Ideas:

1. **Steeptenars (long 2s, short 10s)** — Principal risk trade; 2-10s targeting 120-250bps if tariffs illegal; front-end supported by Fed cuts
2. **Buy oil on gap-hold at 56** — Venezuela gap-down that holds = screaming buy; break below 56 = test low 50s/40s
3. **Fade gold above 4,000** — FOMO into small market, not macro signal; silver even worse; wait for pullback

2) Key Investable Insights

Insight 1: Bond Vigilantes Enforce What Politicians Won't

- **Claim:** Long-end yields at range highs with no technical support; one catalyst triggers breakdown
- **Asset Class:** US Treasuries (10Y, 30Y)
- **Mechanism:** July/Sep rallies left air pockets → no buyers on way down → speed of selloff spooks equities
- **Expression:** Steepeners (long 2s, short 10s); 10Y puts; avoid naked long duration
- **Trigger to Exit/Flip:** Waller named Fed chair + tariffs ruled legal
- **Confidence:** High

Insight 2: Fed Cuts More Than 55bps Priced

- **Claim:** Economy weakening, disinflation flowing through—Fed has room and reason to cut beyond consensus
- **Asset Class:** US Rates (front-end)
- **Mechanism:** Rents/OER rolling off CPI; non-res investment contracting; unemployment ticking up; housing locked
- **Expression:** Long SOFR; steepeners benefit from front-end rally + long-end pressure
- **Trigger to Exit/Flip:** Hot NFP, inflation reaccelerates, Fed turns hawkish
- **Confidence:** High

Insight 3: Tariffs Illegal = Massive Steepener

- **Claim:** SCOTUS ruling tariffs illegal → deficit blowout → 2-10s to 120-250bps
- **Asset Class:** US Treasuries (curve)
- **Mechanism:** Tariff revenue lost → can't pass via Congress (filibuster) → bond market prices fiscal deterioration
- **Expression:** Large steepener position; don't outright short bonds, play the spread
- **Trigger to Exit/Flip:** Tariffs ruled legal, Congress passes tariff legislation
- **Confidence:** Medium-High

Insight 4: Mag7 Concentration = Fatter Tails Both Ways

- **Claim:** Can't rotate \$3T market cap into small caps—exits go to bonds/commodities, creating crash risk
- **Asset Class:** US Equities
- **Mechanism:** FOMO extends rallies; but when it fades, no rotation cushion → prone to crashes
- **Expression:** Raise cash into rallies, buy dips; don't chase extended AI names
- **Trigger to Exit/Flip:** Breadth improves, rotation into cyclicals works
- **Confidence:** Medium

Insight 5: Oil Screaming Buy If 56 Holds

- **Claim:** Venezuela gap-down + hold at 56 = classic "bad news, good price" setup
 - **Asset Class:** Crude Oil
 - **Mechanism:** \$50 inflation-adjusted cheap; US producers underwater; Saudi has staying power, US doesn't
 - **Expression:** BUY oil on gap-hold at 56; stop below 55.75
 - **Trigger to Exit/Flip:** Daily close below 56 → test low 50s, possibly 40s
 - **Confidence:** Medium
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3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/ Flows
Fed chair announcement	Hassett = yields spike, Waller = stabilize	Equity multiples re-rate	Bond-equity correlation positive	Steepening crushes carry	Consensus avoiding duration
SCOTUS tariff ruling	Illegal = deficit blowout → steepener	Trade partner renegotiations	Stock-bond correlation breaks	Refund tailwind if illegal	Steeperers not crowded yet
Mag7 concentration	FOMO extends rallies	Exit flows to bonds/ commodities, not small caps	NASDAQ-rates elevated	N/A	Retail long, no cushion
Oil at 56 support	Hold = buy signal, break = 50s test	Energy equity divergence	Oil-inflation correlation	N/A	Underowned after Venezuela
Gold above 4K	FOMO into small market	No macro signal per team	Gold-rates correlation broken	N/A	Technical break, not fundamental

4) Regime & Scenario Analysis

- **Current Regime Fit:** Late-cycle with binary catalyst overhang. Economy weakening from strong Q3, disinflation flowing through, AI capex carrying but TAM question unanswered, fiscal discipline absent.
- **Base Case (50%):** Waller named, tariffs ruled legal with limited remedies. Bonds stabilize, Fed cuts 75-100bps through 2026, steepener works slowly. Equities chop—raise cash into rallies, buy dips. Rest-of-world outperforms US.
- **Alt Case 1 (25%):** Hassett named OR tariffs ruled illegal without Congressional fix = bond rout, 10Y to 4.5%+, 2-10s blows out to 150+bps, equities correct 10-15%. Steeperers pay massively.
- **Alt Case 2 (15%):** Waller named + tariffs legal + strong data = risk-on rally, curve flattens, dollar dumps, equities squeeze higher. Steeperers lose.
- **Alt Case 3 (10%):** SCOTUS punts (6-month delay) + Hassett named = uncertainty drags, vol spikes, flight to quality in 2Y, long-end still heavy. Choppy.
- **Anti-Thesis Trigger:** Strong NFP Friday, Fed turns hawkish, tariffs ruled legal with Congressional backup, AI productivity shows up in data
- **Tail Risks:** Bond market breaks before Fed can react; oil collapses to 40s; Mag7 earnings miss triggers 15%+ correction

5) Hard Data & Verifiable Claims

- **Data:** 55bps of cuts priced January through June (team says too low)
- **Data:** 10% S&P earnings growth expected for 2026
- **Data:** 6% deficit/GDP (no change from promises of 3%)
- **Data:** Q3 real GDP 3%+; Q4 likely weaker
- **Data:** 2-10s historical range at widest: 120-250bps
- **Data:** Oil at 56 support; \$50 = inflation-adjusted cheap
- **Data:** Gold \$3,500 → \$4,000+ (team calls FOMO)
- **Data:** Non-residential investment (factories) contracting despite onshoring narrative
- **Claim:** Waller = best Fed chair pick (team unanimous)
- **Claim:** Hassett = bonds snap down, yields up
- **Claim:** Economy weakening from very strong Q3
- **Claim:** Rest-of-world (Europe, Japan) outperformed US on stocks + dollar in 2025

6) BS & Bias Filter

- **Incentives:** Andy runs Damped Spring (paid research); Jimmy/Nik run DSMMA (systematic/short-term). Positioned in steepeners, SOFR, short dollar.
- **Blind Spots:** Very US rates-centric; limited EM/China discussion. May overweight Fed/SCOTUS binaries.
- **Track Record:** Called rest-of-world outperformance correctly; steepener thesis waiting on catalyst; gold skepticism validated by recent chop.
- **Consensus Check:** Steepener view shared but not crowded; contrarian on gold (fading FOMO); oil view requires technical confirmation.
- **Sample Bias:** Heavy rates/plumbing expertise; defer to technicals for timing.

7) PM Bottom Line

Action → Position / Hedge

Steeptenars are the principal risk trade. The team is unanimous: you can BS equity investors with temporary tariff workarounds, but the bond market prices 10-30 years—it won't buy it. If SCOTUS rules tariffs illegal and Congress can't reinstate (filibuster), 2-10s blows out to 120-250bps. Front-end is supported by Fed cuts (more than 55bps priced); long-end is vulnerable with no technical support below.

Equity strategy: raise cash into rallies, buy dips. Mag7 concentration creates fatter tails both ways—FOMO extends, but when it fades, exits go to bonds/commodities, not rotation stocks. Favor rest-of-world developed markets (Europe, Japan) over US—that trade has worked all year.

Tactical: Gold above \$4K is FOMO—no new positions. Oil is the setup: if 56 holds on Venezuela gap-down, screaming buy; if it breaks, test low 50s. Tonight's price action is the tell.

Key watches: Fed chair announcement (January), SCOTUS tariff decision, NFP Friday, 10Y yield breakout, oil 56 support, DXY stabilization, Mag7 earnings in late January.